

LECTURE NO 10

HS-403: Management and Entrepreneurship

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SOCIAL ENTREPRENEURSHIP



What is Social Entrepreneurship?

- **Definition:** An organization/Institution pursuing an innovative idea with the potential to solve a community problem. These organizations are willing to take on the risk and effort to create positive changes in society through their initiatives.
- **Examples:** social innovation and transformation in fields including education, health, environment and enterprise development.
- **Goal:** Is not to earn profit, but to implement wide spread improvements in society. However it is still financially savvy to succeed in the cause.

Explanation of Social Entrepreneurship

- **Social Entrepreneurship is a process by which citizens build or transform companies or institutions to provide advance solutions to social problems like:**

☐ **Poverty.**

☐ **Environmental Destruction.**

☐ **Illness.**

☐ **Human Rights Abuses.**

☐ **Illiteracy.**

☐ **Corruption.**

Examples of Social Entrepreneurship in Pakistan

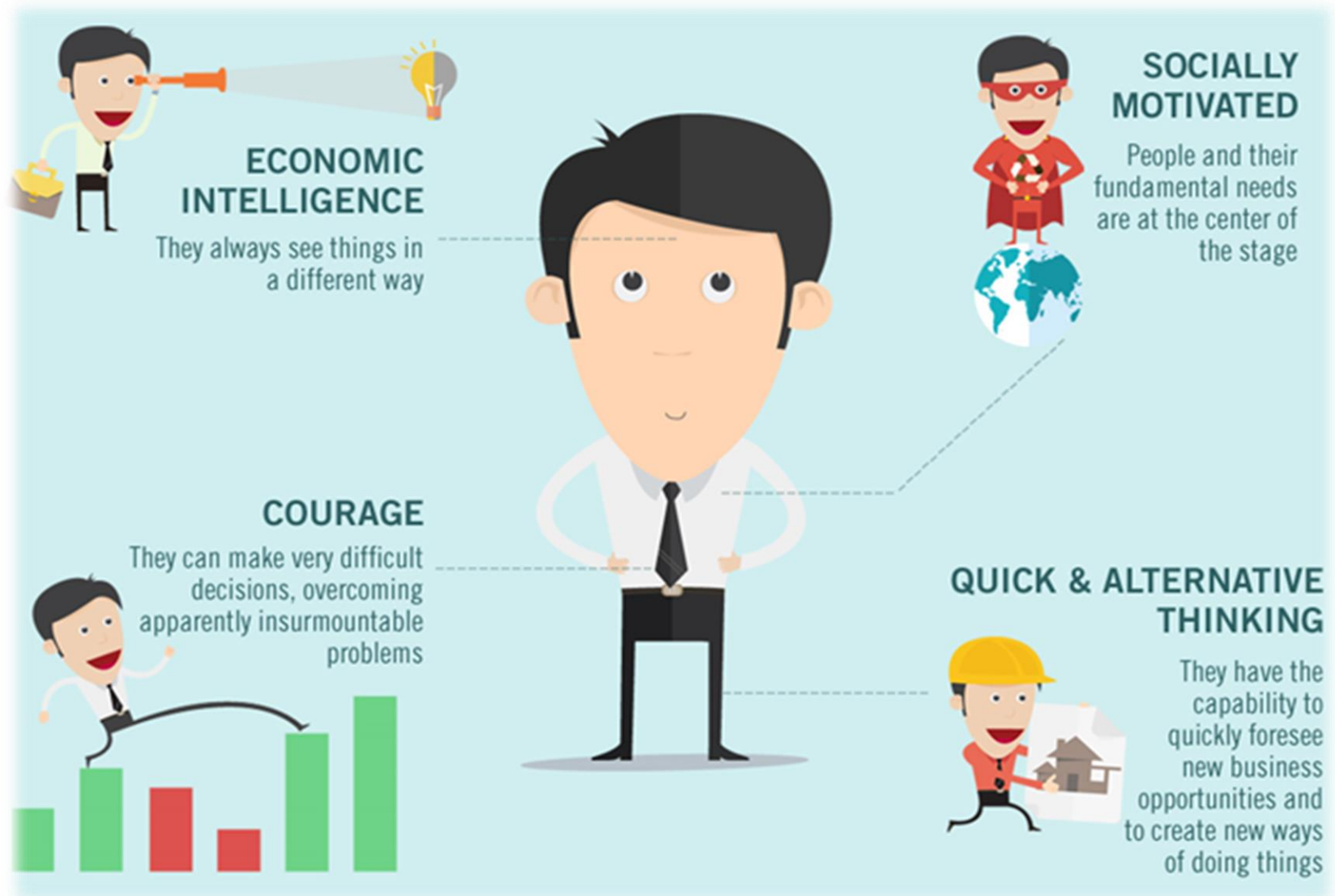
- Mr. Huzaifa Ahmed of Rizq Foundation is a young graduate of LUMS. He has a social enterprise working for the betterment of society with his own unique idea of minimizing the food wastage in Pakistan which has now many corporate partners involved to support the cause.
- He started a simple idea of **'Packing a lunch box'** for an underprivileged child from the extra coins at the cafeteria. The idea was taken up as a research project which proved that there was a positive trend in the attendance of school and children were more interested in studies because of the excitement a packed lunch box with good food brought for them.
- He also opened up a **'Food Bank'** for underprivileged people rather than distributing food on the streets. 'Food Bank' is a unique idea which provides a menu to the people who come here and gives a dining facility at the premises at extremely low prices. The food comes from different restaurants of Lahore who are now in partnership with Rizq Foundation.
- You can read a full article by clicking on the following link:

<http://educationist.com.pk/social-entrepreneurship-in-pakistan/>

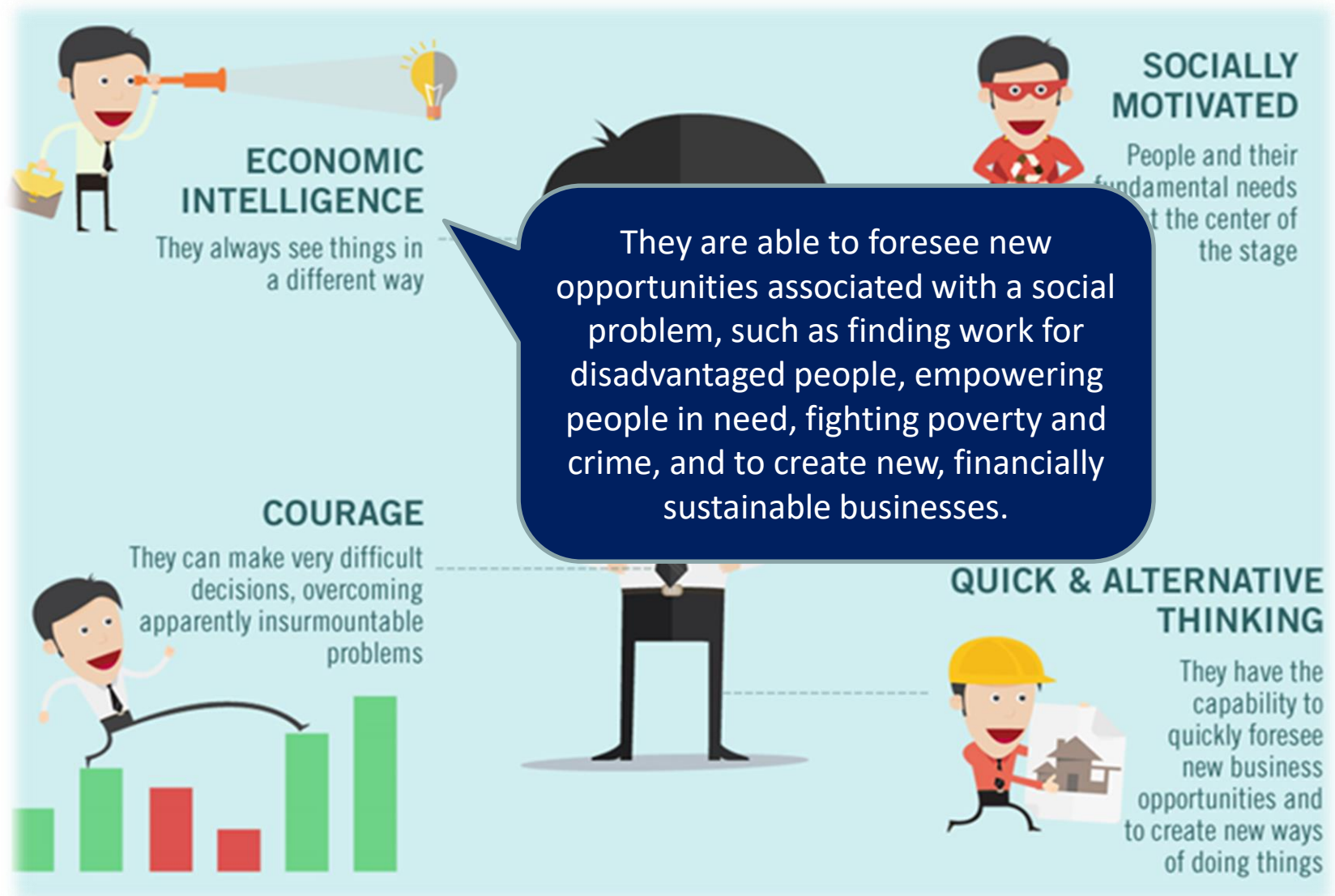
Examples of Social Entrepreneurship in Pakistan

- The **"Kashf Foundation"** which began operating in 1996 in the area of Pakistan microfinance in order to aid the poor women living in the Lahore area.
- The first round of finance from Kashf Foundation was given out to 15 women who used it to start up small businesses which generated income for themselves and their families.
- Since that time, the client base of Kashf Foundation has expanded rapidly and currently reaches over 60,000 women in Pakistan.
- They continue to focus on the unique needs of women in Pakistan via a unique economic empowerment program which includes both financial assistance and non-financial services as well.

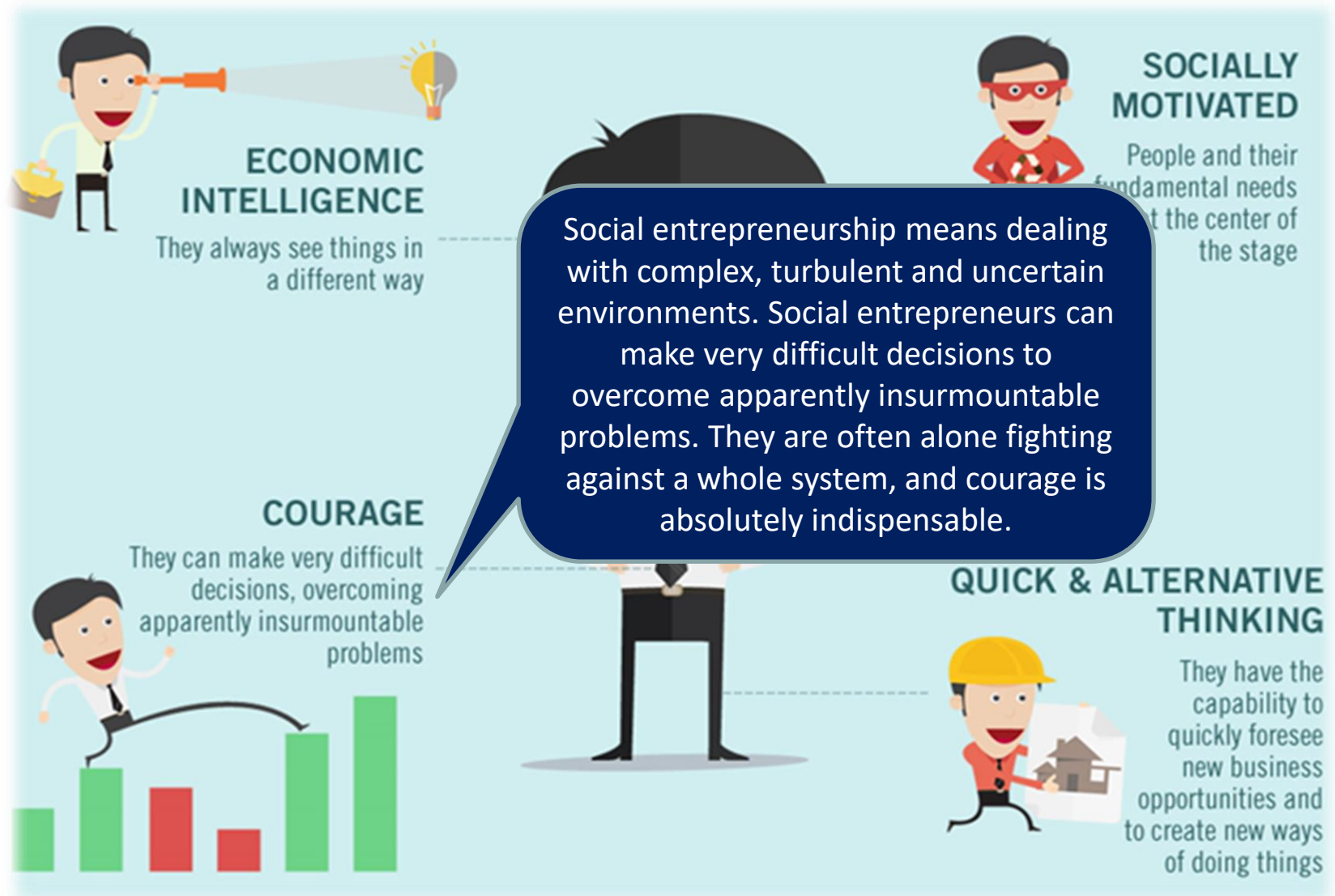
Characteristics of Social Entrepreneurship



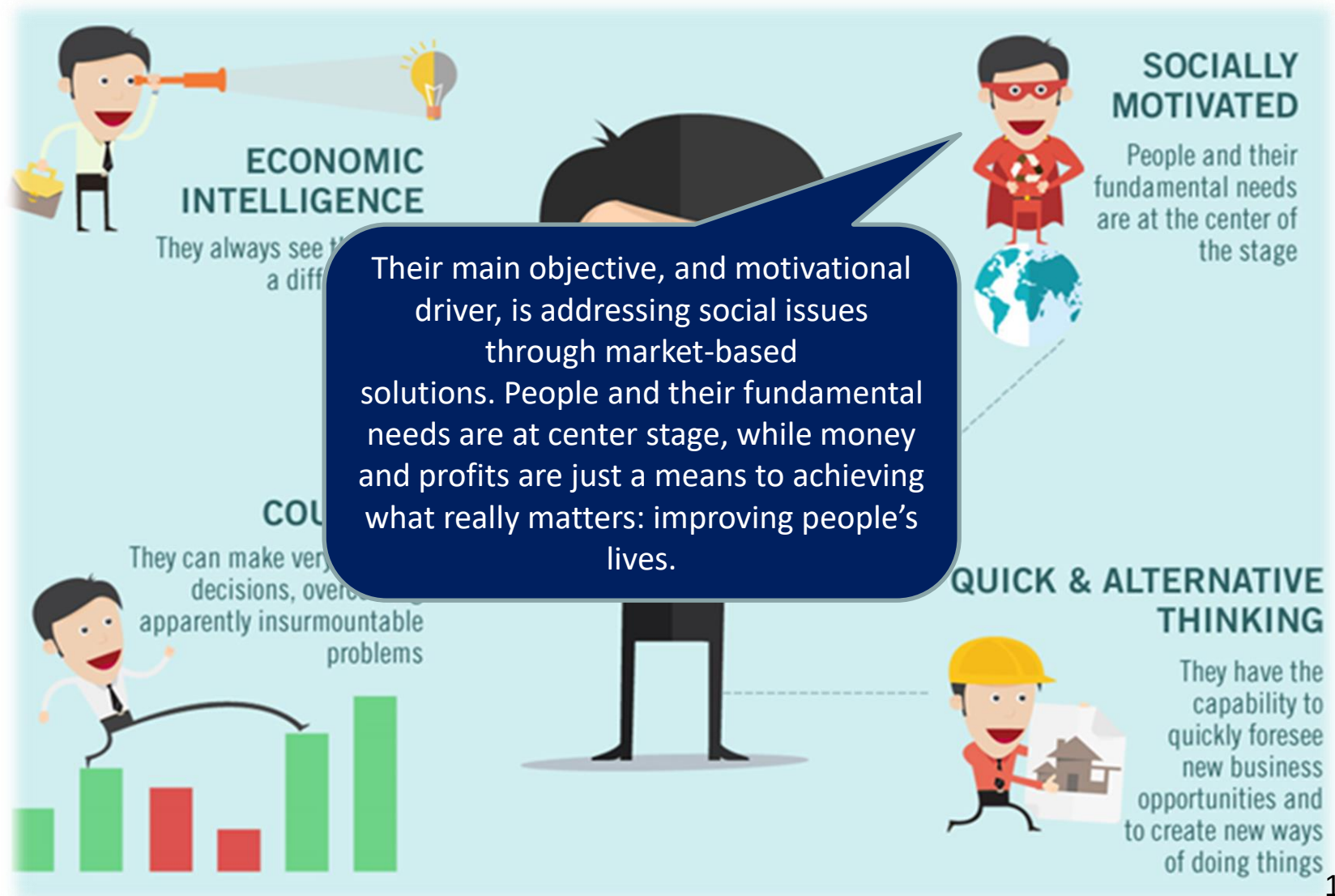
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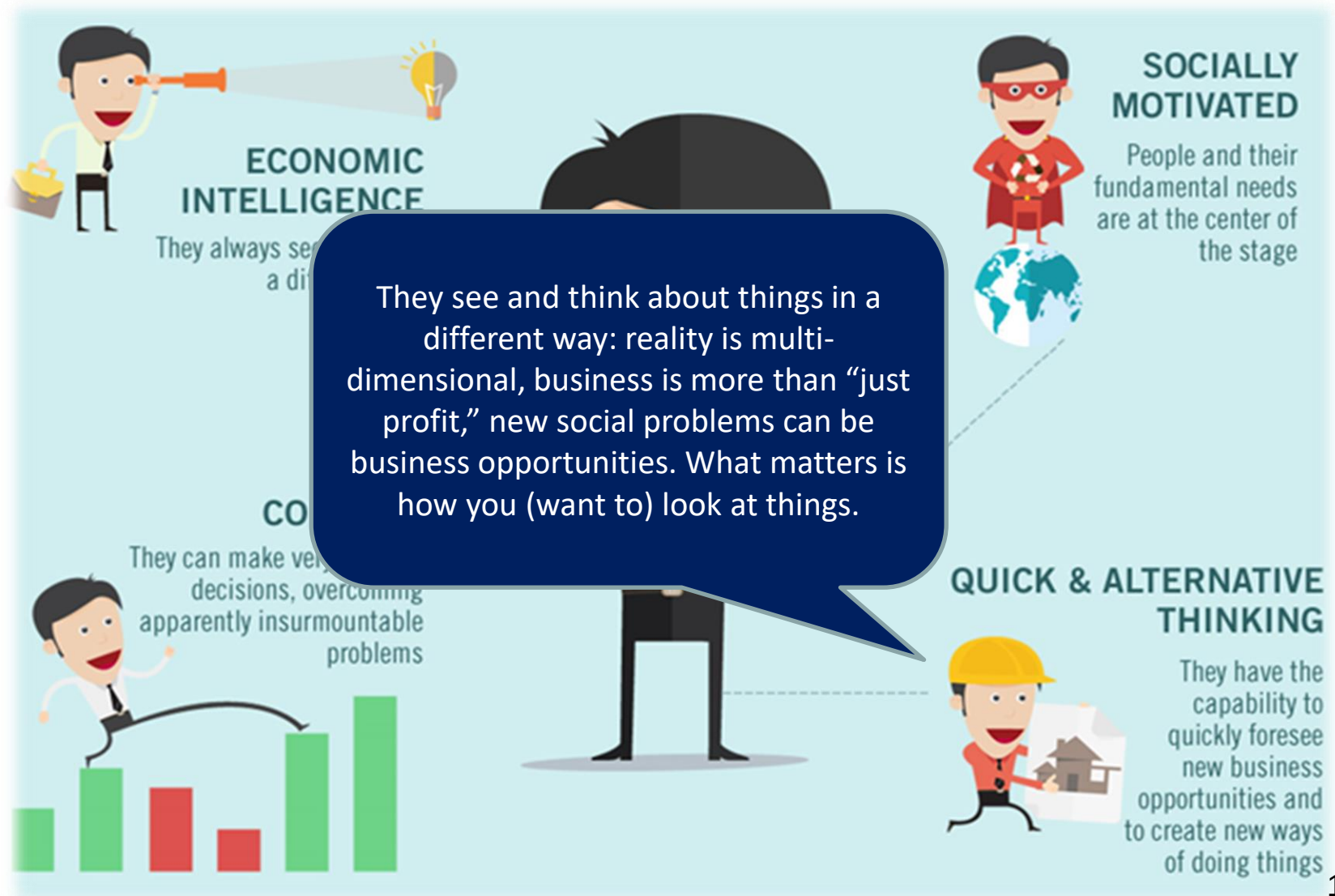
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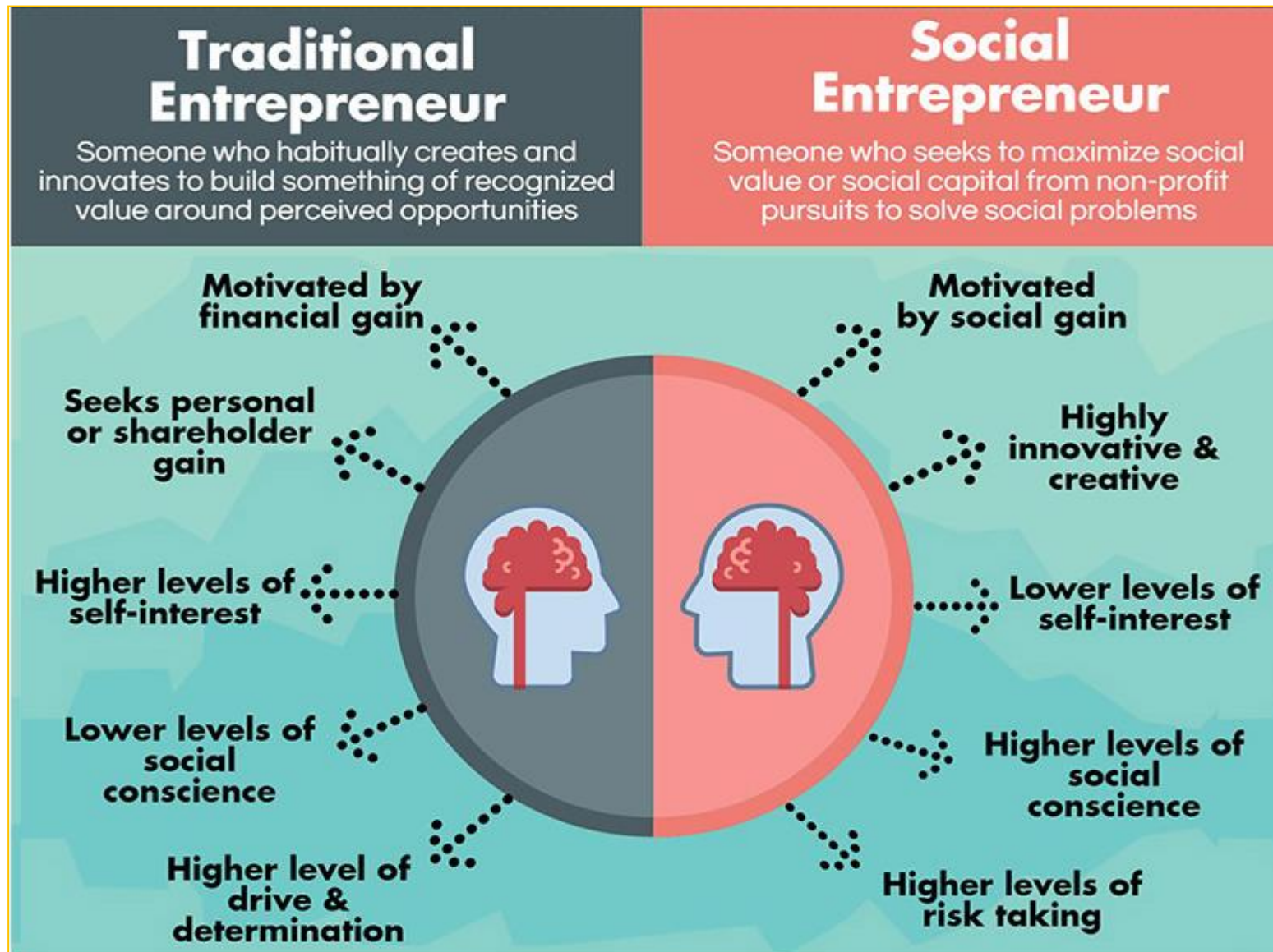
Characteristics of Social Entrepreneurship



Role and Importance of Social Entrepreneurship

- 1. Employment Development** – The first major economic value that social entrepreneurship creates is the job and employment.
- 2. Innovation / New Goods and Services** – Social entrepreneurs develop and apply innovation important to social and economic development and develop goods and services. Issues addressed include some of the biggest societal problems like poverty, mental illness, crime, drug addiction which are confronted in innovative ways.
- 3. Equity Promotion** – Social entrepreneurs cultivate a more equitable society by addressing social issues and trying to achieve ongoing sustainable impact through their social mission rather than purely profit-maximization.

Personality Traits of Traditional and Social Entrepreneurs



Difference between Traditional Entrepreneur and Social Entrepreneur

Element	Traditional Entrepreneur	Social Entrepreneur
Goal	Capture a market securely	Fill a market gap; change the world
Objective	Build a business; earn profits	Create sustainable solutions for social change
Profit Motive	Maximize shareholder value; profit as an end	Advance social aims; profit as a means to financial sustainability
Risk	Basic business risk	Basic business risk plus social aspect
Growth	Competitive for one company	Collaborative for societal impact
Link to Social Problems	Indirect	Direct
Feedback	Established consumer and market information resources	Need to be creative in obtaining market resources
Competition	“Win” for one business over other in the market	Exists, but “win” for society
Capital	Benefit from robust financial and managerial resources	Contend with unpredictable financing

Several Advantages of Social Entrepreneur over Business Entrepreneur

Business Entrepreneur	Social Entrepreneur
They need proper analysis and stable environment to operate well.	They do not wait for the right time and environment to create and deliver services.
They operate with many fears like political conditions, law, and terrorism situation which affect their decision making.	They do not operate with fear and involved directly to get support and resources for themselves.
They apply material resources to form team of workers and offer perks and privileges to workers to develop powerful teams.	They develop highly focused and motivated team by transmitting their vision in them in the form of passion, commitment, sacrifice, appreciation etc.
They don't have any real connection with the communities.	They develop strong bond with the communities and NGOs who provides many kinds of support in the form of money etc.
They don't qualify for donor funding because they earn higher profits.	They address local issues like poverty, unemployment etc. which helps them to attract funding.

References:

- ❑ Based in part on materials by *Ms. Samar Masood* (Lecturer, Department of Management Science in HITEC University Taxila Cantt).